

EVG1007 - Dr. Aisha Rahman - 2025 Form 1040

CLIENT COPY - FINAL (signed off) - Tax Year 2025 - Prepared by Evergreen Tax (synthetic firm)

Taxpayer	Dr. Aisha N. Rahman (XXX-XX-3057)
Address	2240 N Magnolia Ave, Chicago, IL 60614
Filing status	Single
Digital assets question	No
Forms included	1040, Sch 1, Sch 2, Sch A, Sch B, Sch D, Form 8949, Sch E (Part II), Form 7203, Form 8959, Form 8960, Form 8995-A, Form 7206, Form 2210, IL-1040 with Schedule K-1-P credit
K-1	Lakeshore Pediatric Partners, S.C. (EIN 00-4471822) - nonpassive, SSTB, Form 7203 attached
State	Illinois IL-1040 (resident)
Filing method	E-file 04/13/2026 (Form 8879 signed 04/11/2026). Balance due by direct debit 04/15/2026 (Chase ****6620); IL refund direct deposit

Key figures	Amount
Total income (1040 line 9)	561,150
Adjusted gross income (line 11)	552,750
Deduction (line 12e) - Itemized (Schedule A)	72,925
QBI deduction (line 13a)	0
Schedule 1-A deductions (line 13b)	0
Taxable income (line 15)	479,825
Total tax (line 24)	133,340
Total payments (line 33)	101,360
BALANCE DUE (line 37 + 38)	32,759

Form 1040

Line	Description	Amount
1a	Total amount from Form(s) W-2, box 1	224,900
1b	Household employee wages not reported on Form(s) W-2	0
1c	Tip income not reported on line 1a (Form 4137)	0
1e	Taxable dependent care benefits (Form 2441, line 26)	0
1h	Other earned income	0
1z	Add lines 1a through 1h	224,900
2a	Tax-exempt interest	0
2b	Taxable interest	2,490
3a	Qualified dividends	2,100
3b	Ordinary dividends	2,400
4a	IRA distributions	0
4b	IRA distributions - taxable amount	0
5a	Pensions and annuities	0
5b	Pensions and annuities - taxable amount	0
6a	Social security benefits	0
6b	Social security benefits - taxable amount	0
7	Capital gain or (loss) (Schedule D)	21,360
8	Additional income from Schedule 1, line 10	310,000
9	Total income	561,150
10	Adjustments to income from Schedule 1, line 26	8,400
11	Adjusted gross income	552,750
12e	Standard deduction or itemized deductions (Itemized (Schedule A))	72,925
13a	Qualified business income deduction (Form 8995/8995-A)	0
13b	Additional deductions from Schedule 1-A, line 38	0
14	Add lines 12e, 13a, and 13b	72,925
15	Taxable income	479,825
16	Tax	132,794
17	Amount from Schedule 2, line 3	0
18	Add lines 16 and 17	132,794
19	Child tax credit / credit for other dependents (Schedule 8812)	0
20	Amount from Schedule 3, line 8	0
21	Add lines 19 and 20	0
22	Subtract line 21 from line 18	132,794
23	Other taxes, including self-employment tax, from Schedule 2, line 21	546
24	Total tax	133,340
25a	Federal income tax withheld - Form(s) W-2	56,000
25b	Federal income tax withheld - Form(s) 1099	0
25c	Federal income tax withheld - other forms (incl. Form 8959 line 24)	360
25d	Total withholding	56,360
26	2025 estimated tax payments and amount applied from 2024 return	45,000
27a	Earned income credit (EIC)	0

Line	Description	Amount
28	Additional child tax credit (Schedule 8812)	0
29	American opportunity credit - refundable (Form 8863, line 8)	0
31	Amount from Schedule 3, line 15	0
32	Total other payments and refundable credits	0
33	Total payments	101,360
34	Amount overpaid	0
35a	Refund	0
37	Amount you owe	31,980
38	Estimated tax penalty (Form 2210)	779

Schedule B

Line	Description	Amount
1.1	JPMorgan Chase Bank	1,850
1.2	Lakeshore Pediatric Partners, S.C. (Schedule K-1 box 4)	640
2	Total interest	2,490
4	Taxable interest (to Form 1040, line 2b)	2,490
5.1	Fidelity Brokerage Services	2,400
6	Ordinary dividends (to Form 1040, line 3b)	2,400
7a	Foreign financial account at any time in 2025? / FBAR required?	No
8	Grantor of / transferor to a foreign trust?	No

Form 8949 (Box F)

Line	Description	Amount
1	Lakeshore Pediatric Partners, S.C. - S corp distribution in excess of stock basis (sec. 1368(b)(2); Form 7203) acq 01/01/2016 sold 12/31/2025 proceeds 21,360 basis 0 code adj 0	21,360

Schedule D

Line	Description	Amount
7	Net short-term capital gain or (loss)	0
LT box F	Long-term from Form 8949 box F (proceeds 21,360; cost 0; adj 0)	21,360
15	Net long-term capital gain or (loss)	21,360
16	Combine lines 7 and 15	21,360

Schedule 1

Line	Description	Amount
5	Rental real estate, royalties, partnerships, S corps, trusts - Schedule E	310,000
10	Additional income (to Form 1040, line 8)	310,000
17	Self-employed health insurance deduction	8,400
26	Total adjustments to income (to Form 1040, line 10)	8,400

Schedule A

Line	Description	Amount
1	Medical and dental expenses	0
3	7.5% of AGI	41,456
4	Deductible medical	0
5a	State and local income taxes	17,550
5b	State and local real estate taxes	14,800
5c	State and local personal property taxes	0
5d	Add lines 5a through 5c	32,350
5e	Smaller of line 5d or SALT limit (\$24,175 after MAGI phase-down)	24,175
7	Total taxes	24,175
8a	Home mortgage interest and points reported on Form 1098	21,600
8e	Add lines 8a through 8c	21,600
10	Total interest	21,600
11	Gifts by cash or check	27,000
12	Other than by cash or check	150
14	Total gifts to charity	27,150
17	Total itemized deductions	72,925

Form 8995-A

Line	Description	Amount
1	QBI 210,000; SSTB component (above threshold (SSTB phase 1.0000))	0
limit	20% x (taxable income before QBI 479,825 - net capital gain & qualified dividends 23,460)	91,273
deduction	Qualified business income deduction	0

Form 8959

Line	Description	Amount
7/13	Additional Medicare Tax (Medicare wages 240,000; SE 0; threshold 200,000)	360
24	Additional Medicare Tax withheld by employer(s)	360

Schedule 2

Line	Description	Amount
11	Additional Medicare Tax (Form 8959)	360
12	Net investment income tax (Form 8960)	186
21	Total other taxes (to Form 1040, line 23)	546

Form 8960

Line	Description	Amount
8	Total investment income	4,890
12	Net investment income	4,890
13-16	MAGI 552,750 over threshold 200,000	352,750
17	Net investment income tax	186

Form 7203 - S corporation shareholder stock and debt basis

Form 7203 (2025) - Lakeshore Pediatric Partners, S.C. (EIN 00-4471822)	Amount
Part I line 1 - Stock basis at beginning of year	28,000
3a Ordinary business income	310,000
3c Interest income	640
5 Stock basis before distributions	338,640
6 Distributions (K-1 box 16D)	360,000
7 Stock basis after distributions (not below zero)	0
Distributions in excess of stock basis -> capital gain (Form 8949 Part II box F, LT - held since 2016)	21,360
8a Nondeductible expenses (box 16C) - stock basis is zero -> reduce DEBT basis	0
15 Stock basis at end of year	0
Part II line 20 - Debt basis at beginning of year (formal note 06/01/2021)	120,000
Debt basis is NOT reduced by distributions; it absorbs only losses/deductions and nondeductible expenses	
Nondeductible expenses 3,100 + charitable deduction 2,000 applied against debt basis	(5,100)
30 Debt basis at end of year (restored first by future net increases)	114,900
35 Loan balance at end of year (no repayment -> no gain on repayment)	120,000
Part III - all K-1 loss/deduction items allowed (charitable 2,000 allowed via debt basis)	2,000

Form 8960 detail

Form 8960 - Net investment income tax	Amount
1 Taxable interest (Chase 1,850 + K-1 box 4 640)	2,490
2 Ordinary dividends	2,400
4a/4b K-1 ordinary income - nonpassive trade or business (material participation) - excluded	0
5a Net gain (Schedule D) - excess S-corp distribution	21,360
5c Adjustment - gain attributable to S-corp stock of a nonpassive active trade or business (sec. 1411(c)(4); Prop. Reg. 1.1411-7 - all corporate assets used in the practice)	(21,360)
8 Total investment income	4,890
12 Net investment income	4,890
13-16 MAGI 552,750 less threshold 200,000	352,750
17 NIIT 3.8% x smaller of line 12 or line 16	186
Alternative (if gain treated as NII): additional NIIT	812

Schedule A detail

Schedule A support	Amount
5a State income tax: IL withholding 10,800 + IL estimates paid in 2025 (04/15, 06/16, 09/15) 6,750. 01/15/2026 payment is a 2026 deduction. IL PTE tax is NOT included (deducted by the corporation).	17,550

Schedule A support	Amount
5b Real estate tax paid in 2025 (Cook County)	14,800
5d Total state & local taxes	32,350
5e SALT limit: $40,000 - 30\% \times (\text{MAGI } 552,750 - 500,000) = 24,175$ (floor 10,000)	24,175
8a Mortgage interest (Wintrust 1098; acquisition debt < \$750,000)	21,600
11 Cash: Fidelity Charitable DAF 25,000 (written acknowledgment) + K-1 box 12A 2,000	27,000
GoFundMe 'Help the Lee Family Rebuild' \$1,500 - gift to individuals, NOT deductible	0
12 Noncash: used clothing, FMV (thrift value ~25 items x \$6) - under \$500, no Form 8283	150
Note: 2026+ itemized deductions are subject to the OBBBA 2/37 limitation and 0.5%-of-AGI charitable floor - not 2025	

State refund - tax benefit rule worksheet

State refund worksheet (tax benefit rule, Rev. Rul. 2019-11) - 2024 IL refund \$2,100	Amount
2024 state & local taxes paid (IL income 16,400 + property 14,600)	31,000
2024 SALT deduction allowed (cap)	10,000
Taxes paid less refund (31,000 - 2,100)	28,900
SALT that would have been allowed had only 28,900 been paid (still capped)	10,000
Tax benefit from the overpaid tax (10,000 - 10,000)	0
Taxable refund - Schedule 1 line 1	0

Form 2210 - underpayment of estimated tax penalty

Form 2210 - regular method (Part IV) - Short Method not allowed (payments not all timely/equal)	Days	Penalty
2025 tax for 2210 $133,340 \times 90\% = 120,006$; 2024 tax $121,500 \times 110\%$ (AGI > \$150k) = 133,650; required annual payment 120,006; each installment 30,001.50		
Withholding 56,360 (incl. 8959 line 24) treated as paid 1/4 on each due date; estimates paid 04/15/2025, 06/16/2025, 01/15/2026 (Q3 09/15/2025 NOT paid)		
Underpayment due 04/15/2025 of 911.50 paid 06/16/2025	62	11
Underpayment due 06/16/2025 of 1,823.00 paid 09/15/2025	91	32
Underpayment due 09/15/2025 of 14,090.00 paid 01/15/2026	122	330
Underpayment due 09/15/2025 of 3,644.50 paid 01/15/2026	122	85
Underpayment due 01/15/2026 of 18,646.00 paid with return 04/15/2026	90	322
Rate assumed 7% per year for all periods (IRS underpayment rate 2025 Q1-Q4 and 2026 Q1)		

Form 2210 - regular method (Part IV) - Short Method not allowed (payments not all timely/equal)	Days	Penalty
Penalty (Form 1040 line 38)		779

Form 7206 - SE health insurance (2% shareholder)

Self-employed health insurance - 2% S corporation shareholder (Form 7206)	Amount
Premiums paid by the S corp and included in W-2 box 1 (box 14 '2% SH HLTH'); not in boxes 3/5	8,400
Limit: W-2 wages from the S corporation	224,900
Not eligible for any other subsidized employer plan (single; the S corp plan is her own)	
Schedule 1 line 17	8,400

Form 8995-A statement

QBI: Lakeshore Pediatric Partners, S.C. is a specified service trade or business (health). Taxable income before QBI 479,825 exceeds the \$247,300 top of the 2025 phase-in range (\$197,300 + \$50,000), so the applicable percentage is 0% and the QBI deduction is \$0 (Form 8995-A Schedule A).

State / Local Returns

Illinois Form IL-1040 (2025) - full-year resident

Line	Description	Amount
1	Federal adjusted gross income	552,750
	Additions / subtractions (PTE income is already in federal AGI; no US-obligation interest)	0
9	Illinois base income	552,750
10	Exemption allowance (\$2,850 - not allowed: federal AGI > \$250,000)	0
11	Net income	552,750
12	Income tax (4.95%)	27,361
	Illinois property tax credit (5% of property tax) - NOT allowed: federal AGI > \$250,000	0
	Pass-through entity tax credit - Schedule K-1-P from Lakeshore Pediatric Partners, S.C.	16,073
	Illinois income tax withheld (W-2 box 17)	10,800
	Estimated payments (4 x \$2,250, incl. 01/15/2026)	9,000
	Total payments and refundable credits	35,873
	Overpayment - refund (direct deposit)	8,512

Chicago has no municipal income tax. The 2025 IL refund will be a 2026 Form 1099-G item: only the part that produced a 2025 federal tax benefit is taxable in 2026 (SALT was capped in 2025) - see preparer notes.